

MARKETING FUNNEL PERFORMANCE

Conversion Analysis & Strategic Insights

1. OBJECTIVES & SCOPE

This report analyzes the user journey on the e-commerce platform using a sample of 400,000 events. The primary goal is to pinpoint friction in the path from **Discovery (View)** to **Commitment (Cart)** to **Revenue (Purchase)**. We aim to identify where marketing dollars are being wasted and where the user experience requires immediate optimization.

6.5%

VIEW-TO-CART RATE

69.3%

CART-TO-PURCHASE RATE

4.5%

TOTAL CONVERSION

2. FUNNEL METRICS TABLE

Stage	Users	Drop-off	Drop-off %	Total Conv. %
View (Awareness)	116,000	-	-	100.0%
Cart (Intent)	7,500	108,500.0	93.5%	6.5%
Purchase (Revenue)	5,200	2,300.0	30.7%	4.5%

3. ANALYSIS METHODOLOGY

User-Centric Tracking

Unlike simple event counts, this analysis tracks **unique User IDs** across time. This ensures that a single user viewing a product five times isn't inflated in the data, providing a realistic look at the customer journey.

Temporal Segmentation

We calculated the time-to-conversion from first view to cart entry. Results show three distinct groups: **Fast Responders** (< 2 min) who likely arrived with high intent, and **Researchers** (> 10 min) who compare multiple options before deciding.

4. KEY INSIGHTS & DROP-OFF ANALYSIS

The Critical "View-to-Cart" Chasm

The data reveals a massive drop-off of **93.5%** at the first stage. This indicates that while the top-of-funnel (Ads, SEO, Social) is successfully driving traffic, the **Product Detail Pages (PDPs)** are failing to convert interest into action.

Post-Cart Resilience

In contrast, the conversion from Cart to Purchase is strong (**69.3%**). This implies that once a user makes a selection, the checkout flow is efficient. The business problem is not the "checkout" but the "selection" phase.

Volume vs. Value

Over 95% of events are 'Views'. While high traffic is good for brand awareness, the low conversion rate suggests a mismatch between the audience being targeted and the price/product mix offered on the site.

5. STRATEGIC BUSINESS RECOMMENDATIONS

- **PDP Optimization:** High View-to-Cart drop-off requires immediate A/B testing of product descriptions, higher-resolution images, and the inclusion of user-generated content (reviews).
- **Dynamic Retargeting:** Implement remarketing campaigns specifically for the "View but No Cart" segment. Offering a small incentive or highlighting "Similar Products" can bring these researchers back.
- **Urgency Mechanics:** Add real-time stock indicators ("Only 2 left!") or countdown timers for shipping to nudge "Medium/Slow" segment users into the "Fast" segment.
- **Streamline Cart Validation:** To push the 69.3% even higher, introduce "One-Click" checkout options and clear displays of shipping costs early in the process to avoid last-minute abandonment.
- **Category Re-Alignment:** Analyze top revenue-generating categories and brands. Shift ad spend away from high-view/low-purchase categories toward the "power categories" that demonstrate higher conversion intent.